STATE OF WISCONSIN

Law Regulating Sale of Corporate and Other Securities

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CHAPTER 756, LAWS OF 1913

AS AMENDED BY

CHAPTER 507, LAWS OF 1915

Applying to:

(1) Dealers in Securities

(2) Certain Companies Selling Their Own Securities

PUBLISHED BY THE RAILROAD COMMISSION OF WISCONSIN

AUGUST, 1915

Cantwell Printing Co.

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SECTION 1. There are added to the statutes six new sections to read:

Definitions. Section 1753-48. As used in sections 1753-48 to 1753-53, inclusive, the following words shall be understood in the sense herein set forth and defined:

(a) "Company" means and includes all corporations, associations, or joint stock companies, whether organized or located within or without this state, issuing or authorized to issue any stocks, bonds, or other evidence of title to or interest in or lien upon any or all of its property.

(b) "Security" or "securities" means and includes any bonds, stocks, notes or other obligations or evidence of indebtedness which constitutes evidence of, or is secured by, title to, interest in or lien upon any or all of the property of such company.

(c) "Dealer" means and includes all corporations, associations, joint stock companies or individuals organized or located within or without this state engaged in the business of buying or selling, offering for sale, or negotiating for the sale of any security to any corporation, association or individuals in this state, but shall not include corporations, associations or individuals buying securities for the purpose of investment, or selling, offering for sale, or negotiating for the sale of securities bought or held by the seller for investment.

Securities Exempted From Act. Section 1753-49. The provisions of sections 1753-48 to 1753-53, inclusive, shall not apply to:

(a) Securities of the United States or any foreign government, or of any state or territory thereof, or of any county, city, township, village, district, or other political or taxing subdivision of any state or territory of the United States or any foreign government.

(b) Commercial paper or evidence of indebtedness maturing not more than three years from the date thereof.

(c) Securities of public or quasi-public corporations, the issue of whose securities is regulated by the railroad commission of Wisconsin, or by a public service commission or board of equal authority of any state or territory of the United States, or securities senior thereto.

(d) Securities listed upon the New York, Boston or Chicago stock exchange, or upon any other stock exchange approved therefor by the railroad commission while such approval is unrevoked, or securities senior thereto, provided such securities or senior securities have not been disapproved by order of such commission.

(e) Securities of state or national banks or trust companies or building and loan associations of this state.

(f) The securities of any domestic corporation organized without capital stock or exclusively for educational, benevolent, charitable, or reformatory purposes, the articles of which provide that no dividend or pecuniary profit shall be declared or added to the members thereof.

(g) Mortgages upon real and personal property where the entire mortgage is sold and transferred with the notes secured by such mortgage.

(h) Securities of any domestic corporation whose authorized capital stock added to its other outstanding securities shall not exceed twenty-five thousand dollars.

(i) Securities sold to banks, trust companies, or other dealers.

A. Sale of Securities by Dealers.

Statement to be filed. Section 1753-50. 1. No dealer shall sell, offer for sale, or negotiate for the sale of, any

securities not herein expressly exempted until such dealer shall have filed with the railroad commission:

(a) A statement under oath upon blanks furnished by such commission showing the name and principal place of business of such dealer, and the names, residences and business addresses of all persons interested as officers, directors, trustees, members, or partners, with such other information as said commission may require.

(b) If such dealer is a nonresident of the state and is a corporation, it shall also have filed with the proper officer of this state its appointment of an attorney for service of process as required by law, and if not a corporation, such dealer shall file with the railroad commission an irrevocable appointment of the secretary of the railroad commission as attorney for service of process in all actions and proceedings which may be brought against such dealer arising out of transactions with residents of this state or had in this state.

Investigation by Commission. 2. Any such dealer shall from time to time furnish to the railroad commission such information relating to the securities sold or offered for sale as said commission may require; and the method of transacting such business shall be subject to such examinations as may be ordered by said commission.

B. Sale of Securities by Issuing Company.

Kind of Companies Included. Section 1753-51. 1. (a) The railroad commission shall have the supervision and charge of all matters mentioned in this section except where such supervision is expressly vested by law in any other or different agency of this state.

(b) Except as otherwise provided by law, every corporation, association, copartnership or individual, herein termed company, organized, proposed to be organized, or which shall hereafter be organized, within or without this state, whether incorporated or unincorporated, which shall in this state, directly or indirectly, sell or negotiate for the sale of any stocks, bonds or other evidences of indebtedness, or property or of interest in itself, all of which are in this section termed securities, upon which sale or proposed sale

the whole or any part of the proceeds are used, or to be used, directly or indirectly, for the payment of any commissions or other expenses in excess of twenty-five hundred dollars, incidental to the organization or promotion of any such company, shall be subject to this section.

Statements To Be Filed. 2. Before offering or attempting to sell any such securities to any person or persons, or doing or offering to do any such business in this state, excepting that of preparing the documents hereinafter required, every such company, domestic or foreign, shall file with the railroad commission the following documents, to-wit: A statement showing in full detail the plan upon which it proposes to transact business. A copy of all applications for and forms of contracts, bonds or other instruments which it proposed to make with or sell to its subscribers. A statement which shall show the name, location, and head office of the company and such other information as said commission may require. If it shall be a company organized under the laws of any other state, territory, or government, incorporated or unincorporated, it shall also file (a) a statement specifying particularly the laws of such state, territory or government under which it exists or is incorporated, (b) a certificate of the proper officer of its home state that it is authorized to do business therein, and, (c) a copy of its articles of incorporation, constitution and by-laws and of all amendments thereto, and, (d) it shall also file or have filed the power of attorney mentioned in paragraph (b) of subsection 1 of section 1753-50 as therein required.

Advertisements to be Numbered and Filed. 3. No advertisement, pamphlet, circular or other document shall be issued, circulated or delivered by such company, or its agent, within this state unless the same shall bear a serial number and a copy thereof shall first have been filed with such railroad commission.

Contents of Subscription Contract: Deposit of Funds. 4. (a) No person for the purpose of organizing or promoting any company, or promoting the sale of securities of such company by it after organization, as principal or agent, shall sell or agree or attempt to sell within this state

any securities in such company unless the contract of subscription or of sale shall be in writing and contain a provision in the following language:

(b) "No sum shall be used for commission, promotion and organization expenses on account for any share of stock or any bond or other security in this company in excess of _____per cent of the amount actually paid up on separate subscriptions for such securities, and the remainder of such payments shall be held or invested as authorized by the law governing such company and held by the organizers (or trustees as the case may be), and the directors and officers of such company after organization as bailees for the subscriber, to be used only in the conduct of the business for which such company is organized."

(c) Funds and securities held by such organizers, trustees, directors or officers as bailees shall be deposited with any bank or trust company of this state until such company shall begin to conduct the business for which it is organized.

Commissions and Promoters' Profits, *Limited to* Persons Named. 5. No person shall participate in, receive, or accept any part or promise of any part of the commissions or rewards of any organizer, promoter, or agent for the sale of any such securities, unless the name of such person and the fact of his interest in such commissions or rewards shall appear upon such contract of subscription. The omission of such statement from any such contract shall, in addition to the penalty herein provided, make such person liable to the purchaser or his assigns for all sums paid by such purchasers with interest at the legal rate from date of payment, upon the assignment or tender of assignment of the securities so purchased.

Examination of Companies. 6. The said commission shall have the power to make such examinations of any such company at its expense, including actual expenses and the per diem of examiners, and to require such further information and reports as it may deem advisable, *but the making of any such examination shall be wholly in the discretion of the commission and no report of such examination and no act of the commission in pursuance of section 1753-48 to section 1753-53, inclusive, shall imply or include any ap-*

proval of the condition or business of the company or of its securities.

Changes in By-*Laws*, Contracts, etc., to be Filed. 7. No such company shall transact or offer to transact any such business within this state during any time after the taking effect of any change in its articles of organization, by-laws, or plan of doing business, or the making of any change in the form of its applications, or other contracts, before the same shall have been filed with said Commission.

Representations as to Approval. *8. No company or dealer or employee or agent of either, or any other person shall in any form make or publish any representation, statement or advertisement that any securities of any company subject to the provisions of section 1753-48 to section 1753-53, inclusive, are or have been in any manner approved or endorsed by the railroad commission.*

Publication of Reports. *9. All the files and records in the office of the railroad commission relating to section 1753-48 to section 1753-53, inclusive, shall be open to public inspection and the commission shall make such publication of any reports or other matters relating thereto as it may order.*

C. Administration and Penalties.

Penalty, Corporations. Section 1753-52. 1. Any corporation which shall violate or cause to be violated any of the provisions of sections 1753-48 to 1753-53, inclusive, in any matter relating to the issue or sale of its securities, or shall violate any order relating thereto lawfully made by said railroad commission, shall forfeit and pay into the state treasury a sum not more than five thousand dollars.

Penalty, Companies, Dealers or Individuals. 2. Any company, dealer, or person who shall directly or indirectly, by himself or any agent, issue, sell, or offer to issue or sell, or be instrumental in issuing or selling or offering to issue or sell, any securities contrary to the provisions of sections 1753-48 to 1753-53, inclusive, or shall violate any order relating thereto lawfully made by said railroad commission, shall be punished by a fine not exceeding five hundred dollars or by imprisonment in the county jail not exceeding six months, or by both such fine and imprisonment.

Penalty, False Statement to Commission. 3. Any person who shall wilfully make any false representation, either orally or in writing, to the railroad commission in any report or other information or communication required by, or in the course of any investigation provided for, or relative to any matter arising under the provisions of sections 1753-48 to 1753-53, inclusive, of the statutes, shall be deemed guilty of the offense provided for in section 4423 of the statutes and shall be punished as provided in such section for offenses where the amount of money or the value of property involved exceeds the sum of one hundred dollars.

Penalty, Fraud on Part of Dealer. 4. Any dealer, or any agent for a dealer, who shall sell, offer for sale, or invite offers for, or inquiries concerning, any securities, including those mentioned in section 1753-49 hereof, with intent to defraud, or who shall make any false representation relative thereto, shall upon conviction thereof, forfeit not more than one thousand dollars.

Commission to Have Same Powers as Under Public Utilities Law. Section 1753-53. 1. Insofar as applicable and not inconsistent with other provisions of law, the provisions, procedure, powers, duties, prescribed by sections 1797*m*-36 to 1797*m*-42, inclusive, 1797*m*-50, 1797*m*-51, and 1797*m*-53 to 1797*m*-55, inclusive, of the statutes are extended to all matters contained in sections 1753-48 to 1753-53, inclusive.

Aid of Attorney-General and District Attorneys. 2. Upon request of the commission the attorney-general or the district attorney of the proper county shall aid in any investigation provided for, and in all trials and proceedings had under the provisions of sections 1753-48 to 1753-53, inclusive, and shall institute and prosecute any action or proceeding for the enforcement thereof.

Date of Effectiveness. SECTION 2. This act shall take effect October 1, 1913.

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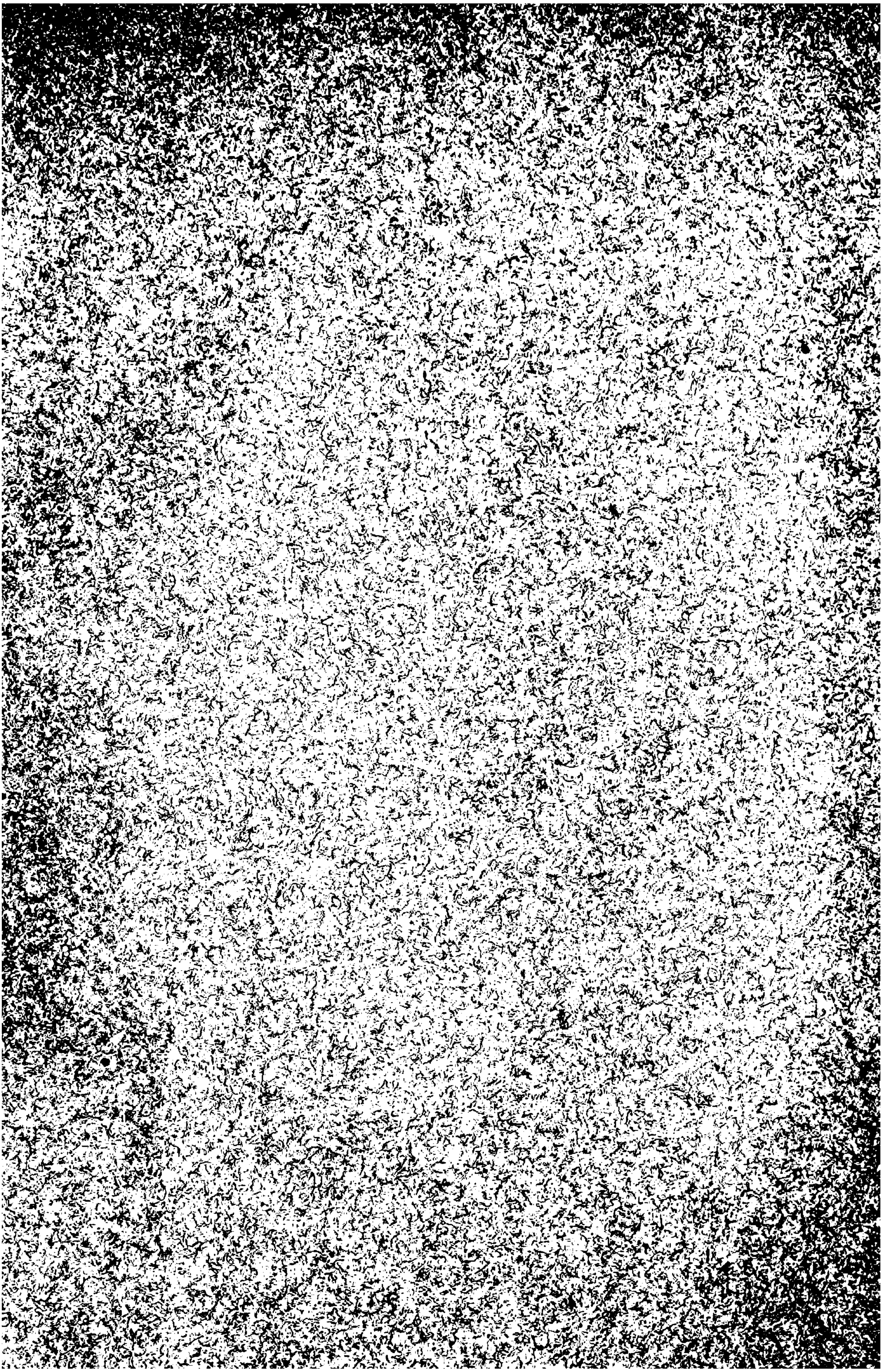

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